

Financial Planning

Keeping the right currency

ICS26016 - Technopreneurship

Learning Objectives

01 To understand the financial planning process

02 To discuss the basic financial plan requirements

03 To identify the components of financial planning

INTRODUCTION

Building a ***financial plan*** can be the most intimidating part of writing your business plan. It's also one of the most vital.

A complete financial plan prepares businesses to:

Pitch to Investors

Present clear, credible financial projections and strategic direction.

Receive Funding

Demonstrate financial readiness and risk management to secure capital.

Achieve Long-Term Success

Maintain structured monetary control and sustainable growth expectations.

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FINANCIAL PLANNING

A **Financial Plan** is an overview of your current business financials and projections for growth.

Key Components of a Financial Plan:

Current Monetary Situation

A snapshot of the present financial health of your business.

Future Growth Projections

Projections detailing your future financial expectations and targets.

TECHNOPRENEURSHIP FINANCIAL PLAN

A **financial plan in technopreneurship** merges engineering and technology innovation with rigorous startup finance.

Key Strategic Focus Areas:

Heavy Upfront R&D
Substantial research & development funding

Scalable Tech
Highly scalable infrastructure design

Pricing Models
Unique models like SaaS subscriptions

VC Timelines
Specific venture capital milestones

ULTIMATE GOAL

Outline the pathway to commercializing a technological solution while rigorously managing capital.

KEY METRICS IN

Before building traditional statements, a technopreneur tracks dynamic software and hardware metrics to evaluate financial viability.

Burn Rate

Monthly speed at which seed capital is spent before generating positive cash flow.

Runway

Months a startup can survive. Formula: Cash Balance ÷ Monthly Burn Rate.

CAC & LTV

Customer Acquisition Cost versus total Lifetime Value generated per user.

ARR / MRR

Annual/Monthly Recurring Revenue tracking baseline subscription income.

FINANCIAL DISCIPLINE

Rigorously measuring these indicators ensures **capital efficiency** and product-market viability before scaling.

BURN RATE — EXAMPLE:

B2B SaaS Startup • ₱5,000,000 Seed Funding Raised

Step 1: Monthly Cash Outflows (Operating Expenses)

Costs heavily lean toward engineering talent and digital infrastructure over physical inventory.

Engineering & Product Salaries — ₱250,000

3 developers • Largest Outflow (62.5%)

Sales & Marketing — ₱80,000

User acquisition & ads

Cloud & Hosting — ₱45,000

AWS servers & DB tools

Software Subscriptions — ₱15,000

GitHub, Slack, CRM tools

Workspace & Admin — ₱10,000

Co-working & internet

GROSS BURN RATE (TOTAL CASH SPENT)

₱400,000 per month

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NET BURN RATE & RUNWAY — CALCULATIONS:

B2B SaaS Startup • ₱5,000,000 Cash in Bank

Step 2: Incorporating Monthly Revenue

MVP launched • Subscription fees from early adopters

+₱150,000
per month

Step 3A: Calculating Net Burn Rate

Net Burn Rate = Gross Burn Rate - Monthly Revenue

400,000 - 150,000

₱250,000
Net Burn / month

Step 3B: Calculating Cash Runway

Cash Runway = Cash Balance ÷ Net Burn Rate

5,000,000 ÷ 250,000

20 Months
Survives 20 mos

INVESTOR PERSPECTIVE

Net Burn Rate reveals true account depletion. With **₱5M cash reserve**, this startup can operate for **20 months**.

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Financial Summary Table

Financial Metric	Amount	Description
Starting Cash Reserves	₱5,000,000	Total capital raised from investors/bootstrapping.
Gross Monthly Expenses	₱400,000	Pure cash outflow required to keep the tech running.
Monthly Cash Inflow	₱150,000	Active recurring revenue from subscribers.
Net Burn Rate	**₱250,000 / mo**	The actual net amount of cash the business loses monthly.
Estimated Cash Runway	**20 Months**	Time left to hit profitability or raise the next funding round.

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Core Components of the Financial Plan:

Capital Expenditure (CapEx) & Proforma Investments

This section outlines the immediate technology infrastructure, hardware, and IP required to launch.

R&D and Prototyping

Costs for initial coding, building a Minimum Viable Product (MVP), and software product design.

Tech Stack & Infrastructure

Cloud hosting (AWS, Azure, GCP), data pipelines, proprietary software integrations, and physical hardware setup.

Intellectual Property (IP)

Patent filings, copyrights, and legal compliance fees.

Part 1. Capital Expenditure (CapEx) Schedule

A sample CapEx schedule for a **Deep-Tech Robotics & IoT Startup** preparing its infrastructure before market rollout.

Asset Category	Description / Specific Items	Useful Life	Initial CapEx Cost	Asset Category
Intellectual Property (IP)	Patent filings, software copyright registration, and legal IP protection.	10 Years	₱150,000	**Intellectual Property (IP)**
Technical Infrastructure	Specialized localized server rack setup & edge-computing nodes.	5 Years	₱280,000	**Technical Infrastructure**
R&D & Lab Equipment	3D printers, CNC prototypes, and advanced electrical testing gear.	5 Years	₱450,000	**R&D & Lab Equipment**
Hardware Hardware/Dev Kits	High-performance GPU laptops for machine learning & software engineering.	3 Years	₱320,000	**Hardware Hardware/Dev Kits**
Office Furniture & Fixtures	Basic workstation desks, ergonomics seating, and safety setups.	5 Years	₱80,000	**Office Furniture & Fixtures**
TOTAL CAPEX REQUIREMENT			**₱1,280,000**	**TOTAL CAPEX REQUIREMENT**

Part 2. Pro Forma Investment Requirements

To determine the exact funding ask for investors (VCs or Angel Investors), the tech founders integrate the **CapEx** above with **pre-operating expenses** and **working capital margins** to ensure the company doesn't go bankrupt in Month 1.

PRO FORMA INVESTMENT REQUIREMENTS

1. FIXED CAPITAL ASSETS (CapEx total from above)	**₱1,280,000**
2. PRE-OPERATING EXPENSES (One-time Startup Costs)	
• Software MVP Audit & Security Penetration Testing	**₱120,000**
• Business Registration, Local Permits, & Licensing	**₱35,000**
• Initial Branding & Core Website Deployment	**₱45,000**
Subtotal Pre-Operating Expenses	**₱200,000**
3. WORKING CAPITAL MARGIN (Operating Runway Reserve)	
• 3 Months worth of engineering payroll buffer	**₱900,000**
• 3 Months worth of cloud server hosting (AWS/GCP)	**₱120,000**
Subtotal Working Capital Reserve	**₱1,020,000**
TOTAL PRO FORMA INVESTMENT REQUIREMENT	**₱2,500,000**

Part 3: Pro Forma Capital Sourcing Structure

Inside the financial proposal, this total investment figure is matched to its intended funding structure to show where equity dilution or debt liabilities stand:

Founders' Equity

Bootstrapping
Contribution

₱500,000

20% stake

Angel / VC Investor

Seed Round Funding
Contribution

₱1,800,000

72% stake

Government Grant

Innovation / R&D Grant
Contribution

₱200,000

8% non-dilutive

TOTAL FUNDING ALLOCATED ₱2,500,000

Core Components of the Financial Plan

2. Pro Forma Financial Statements (3-to-5 Year Projections)

These are forward-looking documents generated through "bottom-up" forecasting, building on precise unit economics and realistic growth conversion rates.

Pro Forma Income Statement

Forecasts revenue streams, Cost of Goods Sold (COGS—which for technology includes hosting costs and customer support operations), and operational expenses to determine future profitability.

Pro Forma Cash Flow Statement

Previews cash inflows and outflows. This is critical for technopreneurs to identify timing gaps between heavy customer onboarding periods and actual invoice settlements.

Pro Forma Balance Sheet

Tracks the startup's financial position (assets, technology liabilities, and equity structure) at a given point in time.

Core Components of the Financial Plan

3. Break-Even Analysis

Technopreneurs often run at a net loss during early user-acquisition stages. A break-even analysis uses a mathematical approach to establish exactly when your unit profit margins will perfectly offset your fixed technical overhead costs.

Fixed Overhead Costs

Base operating expenses including technical server infrastructure, core development salaries, and recurring overhead costs.

Unit Profit Margins

Net revenue generated per active user or unit sold after deducting direct variable costs of delivery.

The Payoff Threshold

The precise user volume or time horizon where cumulative unit margins perfectly offset fixed technical overhead.

Core Components of the Financial Plan

3. Break-Even Analysis

Technopreneurs often run at a net loss during early user-acquisition stages. A break-even analysis establishes exactly when unit profit margins offset fixed technical overhead.

BREAK-EVEN FORMULA

Break-Even Point (Units) = Total Fixed Monthly Costs ÷ Contribution Margin per Unit

Total Fixed Costs

NUMERATOR

Base operating expenses that remain constant regardless of user scale or transaction volume.

Key Components:

- Cloud & server infrastructure
- Core development salaries
- Recurring administrative overhead

Contribution Margin

DENOMINATOR

Net revenue generated per unit/subscription after deducting direct variable costs of delivery.

Formula Breakdown:

- Selling Price per Unit
- Minus: Variable Costs per Unit
- (Hosting, Payment Processing, Support)

Break-Even Point

TARGET RESULT

The exact unit volume required to reach zero net loss and fully cover all operational overhead.

Strategic Objective:

- Establishes baseline viability
- Defines min. active user threshold
- Offsets fixed tech overhead

Scenario: B2B SaaS Startup

Break-even analysis sample for a cloud-based Inventory Management Software startup charging a monthly subscription fee.

BREAK-EVEN POINT CALCULATION

₱300,000 (Fixed Overhead) **÷ ₱2,000** (Contribution Margin / User) **= 150 Active Subscribers** needed per month to break even

1. Fixed Overhead

COSTS TO KEEP THE LIGHTS ON

Expenses that do not change whether the startup has 1 user or 1,000 users.

TOTAL FIXED MONTHLY COSTS

₱300,000

Cost Breakdown:

- **Engineering & Admin:** ₱220,000
- **Fixed Marketing:** ₱40,000
- **Software Licenses:** ₱25,000
- **Office Space:** ₱15,000

2. Unit Economics

PER-SUBSCRIBER METRICS

Per-subscriber pricing and direct variable cost structure.

SELLING PRICE PER SUBSCRIPTION (P)

₱2,500 / month

VARIABLE COST PER USER (V)

₱500 / month

Variable Cost Factors:

Includes database scaling, transaction fees, and active support usage.

3. Contribution Margin

NET MARGIN PER USER

Money left over from each subscription that directly goes toward chipping away at fixed overhead.

CONTRIBUTION MARGIN PER USER

₱2,000 / month

FORMULA CALCULATION

Selling Price - Variable Cost

2,500 - 500 = ₱2,000

Calculating the Break-Even Point

Determining break-even threshold in unit volume and total financial revenue.

1. Break-Even Volume (Units)

UNIT BREAK-EVEN METHOD

Using the Break-Even Volume formula:

Break-Even Point (Units) = Total Fixed Monthly Costs ÷ Contribution Margin per Unit

FORMULA SUBSTITUTION

Break-Even Point (Units) = 300,000 / 2000

TARGET RESULT

150 Active Subscribers

Active subscribers needed per month to reach zero net loss

2. Break-Even Sales Revenue

FINANCIAL VOLUME METHOD

To determine this in financial revenue volume rather than units:

Break-Even Sales Revenue = Subscribers × Price per Unit

REVENUE CALCULATION

150 Subscribers x 2,500

MONTHLY REVENUE TARGET

375,000 per month

Break-Even Sales revenue required monthly

Break-Even Financial Projections Summary

This matrix demonstrates how profit scales rapidly once you cross the 150-user threshold due to high software leverage:

Metric	50 Users (Loss)	150 Users (Break-Even)	300 Users (Profitable)
Total Monthly Revenue	₱125,000	**₱375,000**	₱750,000
Variable Cloud Costs	₱25,000	₱75,000	₱150,000
Fixed Software Overhead	₱300,000	₱300,000	₱300,000
Net Monthly Profit/Loss	**- ₱200,000**	**₱0**	**+₱300,000**

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